Selecting investments that do not go up and down at the same time (or most of the time) can be made easier with *correlation* analysis. This is a mathematical measure of the tendency of one investment to move in relation to another. The correlation coefficient is a mathematically derived number that measures this tendency toward comovement relative to the investments' average return. If two investments each move in the same direction at the same time above their average returns, they have a *positive correlation*. If they each move in opposite directions below their average returns, they have a *negative correlation*. If the movement of one investment relative to its average return is independent of the other, the two investments are *noncorrelated*.

The challenge facing investors is to find investments that have negative correlation, or noncorrelation, or at least low positive correlation with each other. If those investments can be identified and if the investments offer a positive rate of return after inflation, investors should place an appropriate percentage of their portfolio in each one and rebalance those investments annually.

I will state right now that there are no negatively correlated asset classes. At times an asset class will be negative correlated with the U.S. stock market; however, this negative correlation does not persist. Correlations are dynamic, not static. Even though there are people who will point to commodities and gold and say that these assets often have negative correlation with U.S. stocks, they do not produce any real return over the inflation rate.

Shorting the S&P 500 Stock Index also has negative correlation with stocks (shorting means selling the index without owning it). Shorting the S&P 500 is the opposite of buying the S&P 500, which cancels out the gains in the market. Again, there is no benefit to having an investment in your portfolio that does nothing for your long-term returns.

There is also no benefit from purchasing new investments that have a consistently high positive correlation with other investments already in your portfolio. This is a very common mistake that inexperienced investors make. During the late 1990s, many people thought that their portfolios were diversified because they owned several different growth stock mutual funds. When the technology and communications sectors of the economy collapsed between 2000 and 2002, all growth mutual funds fell concurrently because all those funds were heavily weighted in the same